

Joint and Several Guarantees. Such guarantees are given by more than one company to cover the same issue, and each company accepts responsibility not only for its pro rata share but also for the share of any other guarantor who may default. In other words, each guarantor concern is potentially liable for the entire amount of the issue. Since two or more sponsors are better than one, bonds bearing a joint and several guarantee are likely to have special advantages.

Example: The most familiar class of issues backed by such a guaranty are the bonds of union railroad stations. An outstanding example is supplied by Kansas City Terminal Railway Company First 4s, due 1960, which are guaranteed jointly and severally by no less than 12 railroads, all of which use the company's facilities. The 12 guarantors are as follows: Atchison, Alton, Burlington, St. Paul, Great Western, Rock Island, Kansas City Southern, M-K-T, Missouri Pacific, 'Frisco, Union Pacific and Wabash.

The value of each of these individual guarantees has varied greatly from road to road and from time to time, but at least three of the companies have consistently maintained sufficient financial strength to assure a Terminal bondholder that his obligation would be met without difficulty. Investors have not fully appreciated the superior protection accorded by the combined responsibility of the 12 carriers as compared with the liability of any one of them singly. The price record shows that the Kansas City Terminal Railway Company 4s frequently sold at no higher prices than representative issues of individual guarantor companies which later turned out to be of questionable soundness, whereas at no time was the safety of the Terminal bond ever a matter of doubt.¹²

It would seem good policy for investors, therefore, to favor bonds of this type, which carry the guaranty of a *number* of substantial enterprises, in preference to the obligations of a single company.

¹² See Appendix Note 30 for supporting data.